Industry Report
Commercial Aviation

ECO 333 – Industrial Organization

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1 Introduction and Motivation

The U.S Domestic Commercial Aviation industry plays a crucial role in the U.S economy, transporting millions of people and connecting leisure and business travelers to their destinations. Through connections in upstream and downstream industries, commercial aviation generates hundreds of billions of dollars in economic activity and employs close to 10 million people, according to Federal Aviation Administration (2024). Although the industry stimulates much of the economy, it is characterized by high barriers to entry due to high fixed costs and strong economies of scale. These characteristics have led to a continued consolidation in the market.

This paper works to analyze the economic structure of the Airline industry in the U.S., focusing on firm consolidation and market competition. Recent mergers and attempted mergers have brought consolidation and market competitiveness back to the forefront of industry analysis, as well as the impact of regulation on this. Understanding how mergers and firms' cost structure impact the market's competitive nature is of utmost importance. In particular, this analysis examines how consolidation shapes market concentration and competition in the U.S. commercial airline industry.

2 Industry Definition

The relevant product market for this analysis is scheduled commercial passenger airline flights within the domestic U.S. These can be split into four groups: Legacy Carriers, Low Cost Carriers (LCC), Commuter Airlines and Regional Carriers. This analysis considers the following in regards to regional carriers: SkyWest airlines, Republic airlines, Piedmont airlines, Horizon Air, Envoy Air, Endeavor Air and Mesa Airlines . These firms operate as separate entities from legacy carriers but operate under the liveries of legacy carriers such as United Express, Delta Connection, or American Eagle. These airlines will be lumped in with their respective legacy carriers. Examples of this can be seen in United Express with United, Delta Connection with Delta and American Eagle with American. Legacy Carriers are to be defined as American Airlines,

Delta Airlines and United Airlines. For LCC there are two subdivisions of LCC and Ultra-LCC. For LCC we have Jetblue, Alaskan Airlines and Breeze Airways. All airlines not mentioned fall into Ultra-LCC.

The following addresses the upstream and downstream industries within this economic ecosystem. First, firms that produce the aircrafts which is just three firms being the larger jets produced by Boeing and Airbus and regional jets produced by Embraer and Bombardier. Jet fuel along with much of the car fuel is produced by major oil companies such as Chevron and Exxon-Mobil. Here in the U.S most airports are publicly owned and operated by government entities at the state and local municipalities level. Downstream industries that rely on commercial aviation would be things like local tourism, shipping companies and travel agencies.

Companies compete on three different geographic levels. The first is the route-city pair level, where companies compete mostly on price and frequency of flights. The second level of competition is the airport level, where companies compete for hub dominance. As seen in Borenstein (1989), controlling a large share of gates in a larger airport can establish significant market power over that general market, leading to competition between airlines for gates and runway slots. Lastly, these airlines compete on the national/international level, where firms compete on brand loyalty programs and firm reputation. Examples of key measurements on this level are: Revenue Passenger Miles (RPMs), Available Seat Miles (ASM), and Total Revenue. Together, these three metrics allow us to measure things like demand, supply, and market share.

3 History of Industry

The commercial airline industry in the U.S. started in 1927, originally targeting higher-income brackets and passengers using the service for business reasons. Airplane conditions were challenging due to the cabin's lack of insulation and pressurization, resulting in flights that were often uncomfortable and loud. During this time period the Civil Aeronautics Board (CAB) was the main regulator until the Airline Deregulation Act of 1978 González (2022).

In 1955, air travel surpassed train travel in the U.S and in 1957, it became the preferred travel across the Atlantic Ocean. Air travel became a necessity over a luxury due to its speed and convenience. When new aircraft, such as the Boeing 707, were introduced in 1958, airline travel grew even more due more improvements in speed and quality. This improved the industry standard for aircraft as a whole. This promoted overall increases in the use of flights for travel due to the competitive necessity for the growth of technological progress in aviation. The progress could be seen in the public, as at least half of Americans reported flying at least once by the 1970s as talked about in National Air and Space Museum (n.d.).

In 1978, the era of deregulation began with giving airlines the freedom to choose their own routes and set their own airfare prices. This shift in policy led to new airlines entering the market as well as the expansion of existing airlines to cover the entire continental U.S. This is also when we start to see the phenomenon talked about in Borenstein (1989) regarding hub and spoke. By the 1990s, the commercial aviation industry was defined by increased market competition, frequent bankruptcies and significant restructuring of the market.

Then began an era of mergers and acquisitions. In the era of deregulation, smaller companies would soon be bought by larger companies, whose market power was overwhelming. This would concentrate the market greatly, giving way to the current four-firm market structure, which came to exist; American, Delta, United, and Southwest control approximately 76.46% of the market as calculated using passenger demand from the BTS DB1B Market dataset in U.S. Bureau of Transportation Statistics (2024).

4 Demand Characteristics

The amenities that come with an airline are what separate companies from one another in this industry. In-flight entertainment, loyalty programs, seat quality, hub locations, scheduling, and brand reputation are all factors contributing to a customer's decision when choosing an airline. Depending on the class fare, the product can differ whether the firm is targeting a low income or

higher income earner.

Demand elasticity in the airline industry varies depending on the traveller. There are two types of travellers in the commercial aviation industry: leisure and business travellers. Leisure travelers tend to have more elastic tendencies, with the ability to shift travel plans by time or location based on prices. On the other side of the spectrum, business travelers tend to have inelastic tendencies and will buy the ticket regardless of price. Inferring from this, airline tickets can be considered both a luxury and a necessity depending on the customer.

There are a significant number of substitutes for shorter travel distances, especially when targeting specific geographic areas of the U.S., for example, the Northeast Corridor. Substitutes such as reliable rail travel, bus services, and cars are all plausible. While these are also substitutes in other areas of the country, they are most feasible in areas like the Northeast, where you have many cities in a small area. When you expand to medium and long-haul travel, the other options become a little less reliable, such as long car and bus rides or less reliable train service. This analysis considers that travel time differences between air and substitutes in medium and long-haul travel are significant. Travel can differ from hours to days in some instances. Along with the travel time gap, business travelers now have access to virtual meetings which can serve as another form of a more affordable substitute.

Compliments come in the form of Hotels, museums, cruises, and other tourist-related services. Looking into the current demand numbers in the U.S., a report published by the International Air Transport Association (2026) gives insight into this. In this report, the earlier referenced RPM (Revenue Passenger Miles) and ASM (Available Seat Miles) are changed to RPK and ASK to reference the change from miles to kilometers. The report shows a drop year over year by 1.8% in RPK, showing a drop in demand. The report notes this may be due to the government shutdown in the U.S.

Pricing in this industry is dynamic and shifts on a day-to-day basis. The general rule is that the closer a flight comes to the scheduled departure date, the fuller it gets, which drives higher prices, reflecting the influence load factors have on flights. Due to all of these variables in pricing,

airlines are able to enact significant price discrimination. It's worth noting that the package the airline offers may allow for one base fare to get from point A to point B to be lower with the option to pay for additional add-ons, such as carry-ons or checked baggage or the contrary, resulting in significant product differentiation on each flight. While each carrier allows customers to purchase tickets directly from their websites, companies like Google (Google Flights) and Expedia allow consumers to directly compare prices.

5 Firms & Concentration

The U.S Domestic market is dominated by four large firms, as outlined which was complied by calculating passenger demand from the year 2024 given by U.S. Bureau of Transportation Statistics (2024). We note that even thouugh the sample is 10% of ticket sales, it is the standard in academic literature. Delta (19.14%), American (19.77%), Southwest (22.4%) and United (15.15%) as seen in Table 1. When calculating the CR_4 of these firms, it shows a 76.46% market share, which is considered highly concentrated. To analyze another measure of concentration, HHI comes in at 1587.23. The DOJ standard tells us that this would be considered moderately concentrated on a national level. This doesn't make sense, this industry is highly concentrated. This is because firms compete on a route and city pair basis.

For this example Atlanta will be used as a concentrated example and New York City as an unconsecrated example. This is perfect as both are major metropolitan areas, but Atlanta only has one major operating hub in the city, while NYC has multiple throughout its many airports in the region. As can be seen in Tables 2,3,4 and 5 ATL based on their HHI 3593.63, would be considered highly concentrated, and the NYC markets HHI would be 2031.85 which is still highly concentrated, but shows a gap of nearly 1500 HHI, a whole benchmark increase. Looking at ATL to SEA, which is a Delta hub to a Delta Hub the HHI is even higher, coming in at 4557.3 compared to NYC to BNA (Nashville) which has HHI score of 1920.4. This shows that you can not look at the overall nation HHI but must break down to airport level and even the route level, rather than the

antitrust thresholds set by the DOJ. Gaps in HHI between routes and markets are more indicative of concentration in this case than the overall HHI guidelines set by the DOJ.

Additionally the Table 6 puts into perspective the findings in Borenstein (1989) Hub dominance allows airlines to control a large share of gates and flight frequencies at an airport, which can increase switching costs for consumers and raise barriers to entry for competing airlines.

6 Cost Structure

The cost structure for the commercial aviation industry is modeled based on a 3 year running average of operating costs compiled from Delta's 10k form from 2025 . Fixed costs (FCs) come in at 56.8% of total operating cost, and variable costs (VCs) come in at 43.2%. In terms of billions of dollars, FCs account for 31.373 Billion and VC is 23.866 billion. Leading fixed costs are salary-related costs equal to 16.096 billion dollars, taking up 29.1% of the total operating costs. The leading variable cost is fuel, coming in at 10.485 billion dollars, 19% of total operating costs. All other costs individually make up less than 10% of the total operating costs each. These high fixed costs are part of why there are high barriers to entry in the industry. Particularly, those associated with labor and rent, leasing, and buying of aircraft make it difficult. All of this can be seen in Tables 7 and 8

As shown in Table 9 capacity for Delta increased in miles by 3.3%; however, the cost per mile essentially stayed constant, increasing from 19.30 to 19.31. This concludes that variable costs stay relatively stable over time. This implies a constant marginal cost. When combining this with the higher fixed cost, the conclusion can be made that commercial aviation does have economies of scale. Aviation does experience economies of scope, as an airline through the hub and spoke or focus city model. Airlines are able to consolidate passengers from smaller operational bases to larger hubs, allowing them to spread operational resources across large numbers of city pairs.

7 Competition & Firm Conduct

As talked about briefly in a previous section, airlines on a broad scale do not compete on a national level, but on a route-level. This being said, at this level, airlines compete on both price and reputation, as said in Lee et al. (2024) and Ragab et al. (2024). Focusing on price, the airlines do this through complex dynamic pricing strategies coupled with strong price discrimination. The airlines do this by changing pricing based on the actual product being offered through fare class (basic economy, economy, business, first class etc), along with other factors such as time of purchase, loyalty programs, dates of trips, and load factors, just to name a few. Finally, airlines also compete through auxiliary revenue sources by charging for things like seat selection or baggage. On a firm level, they also compete for gates and slots at airports. The article Reuters (2026) shows the importance of this. Coupled with Borenstein (1989), it can be seen why the firms compete for gates and slots by lobbying governments and the FAA

Leading firms can be seen in Table 1, which visualizes market share on a national level. Variations can be seen on the airport level, for example, in Atlanta, Delta is the leading firm, and in Charlotte, American Airlines is the leading firm. Innovation for the product is limited as the core business is transporting passengers from one location to another. In terms of making the aircraft more efficient, that is done in upstream industries with companies like Boeing and Airbus.

This tends to be a copycat industry in terms of innovative ideas for generating additional revenue. An instance to reference here is back in 2008, when American Airlines started charging for baggage, and other legacy carriers followed. Similarly, in 2016 and 2017, firms started introducing basic economy fare, seen in FareCompare (2017)

Public collusion has led to DOJ intervention. While there is public collusion on the international level, this analysis just focuses on domestic U.S travel. An example of this can be seen in the Blue Sky loyalty collaboration between JetBlue and United Airlines. The Points Guy (2025b) discusses this partnership, which does not go as far as the Northeast Alliance (NEA) and seems to only include a share of loyalty programs between the two airlines. Additionally, due to the readily available prices on sites like Google Flights, Collision may also be easy

While entry in the market is rare, two different firms have recently entered the market with success, being Avelo Airlines and Breeze Airways. This is quite impressive because of high fixed costs deterring market entry.

Competing on a route level, the airline industry is for the most part an oligopolistic market as seen in the following Tables. There may be some markets that are monopolistic as seen in Table 10 showing monopolistic routes now under the Hawaiian - Alaskan merger

8 Regulation

s analysis only focuses on the agencies that regulate the economics of commercial aviation, the DOJ, FAA, and DOT. Ignoring the reality that DHS is responsible for regulating safety in the industry. The history of regulation in the industry history section was discussed earlier in this analysis. Drawing from the historical details, CBA used to govern the economics side of things in aviation until the Airlines Deregulation Act of 1978 as talked about in González (2022). The DOJ's main job is to enforce antitrust laws, competition laws, and review mergers and acquisitions. The DOT, since giving its M&A authority to the DOJ in 1999, has acted as a supplement to the DOJ. Additionally, the DOT keeps and tracks economic data used by the DOJ in its analysis. Additionally, the DOT does have authority over some antitrust issues, such as code sharing, international route sharing, and consumer protection enforcement. One example of this is the Essential Air Service, which is a program that subsidizes airline service to rural airports in America that may not be able to economically sustain regularly scheduled commercial airline service, as stated by Borenstein and Rose (2014).

As talked about earlier in this analysis, and will be talked about significantly in the next section, the airline industry has been plagued by mergers and acquisitions. While most of them have been approved, such as Alaska Airlines and Hawaiian Airlines, there are often specific competition rules that come with these that align with the unique city pair competition seen in this market, as seen in the DOJ documents. However, there has been significant pushback from the DOJ, with

mergers and acquisitions seen with the rejection of the JetBlue and Spirit Airlines merger. Additionally, there have been domestic alliances between airlines that have been broken up, such as the NEA. This was a partnership between JetBlue and American Airlines. Together, these airlines coordinated and colluded publicly by sharing operations at the 4 major airports in Boston and NYC.

Currently, major news in terms of regulation in the news has been the slot regulation. There is currently a heated battle between American and United for hub dominance at Chicago's O'Hare airport. This raises a major point in the FAA's importance in regulation. The FAA, while not directly dealing with the economics of the issue, will impact the hub dominance of the airport, which is of the utmost importance in this analysis.

9 Analysis of economic phenomena

Mergers and acquisitions in the industry are maybe the most prevalent economic phenomena in the commercial U.S. airline industry. The following compares and contrasts two recent attempted mergers. Taking a look at the Alaska Airlines and Hawaiian Airlines merger, as well as the attempted merger between JetBlue and Spirit. While evaluating these two mergers, the DOJ is responsible for answering these two questions: do the mergers create market efficiencies, and do they create an unsustainable rise in market power and prices? To do this, the DOJ will evaluate the mergers on three different market levels. With the route city pair as the primary level of competition. The secondary level is on an airport level, due to the importance of hub dominance as discussed in Borenstein (1989). Lastly, they examine the mergers on a national level to get a general understanding of the economic trends this may lead to in the industry.

9.1 Similarities

Both of these were horizontal mergers, meaning between airline and airline. It's worth noting that during the time of the attempted merger, the market was already concentrated. Both

of these mergers aimed to increase the overall scale and improve their network efficiency. All of which were in an attempt to compete with the big four airlines, including American, Delta, United, and Southwest. The mergers were both during times of financial troubles for both of the firms being merged (Spirit and Hawaiian). Additionally, the two mergers triggered DOJ reviews due to antitrust issues on national and city route pair levels. Finally, both mergers happened in the same post-COVID time period, making it so both were reviewed under the same economic conditions. Also, as the data is available in Tables 10 and 11, both airlines, when merged, would have had a high HHI and route overlap on many routes.

9.2 Differences

Comparing the two mergers together, some differences arise, for example, one of them is that in the Alaskan merger case, both operate in the same area of the industry. Both firms are in the grey area between a legacy carrier and an LCC. While the JetBlue merger involved two firms operating in two different areas of the industry. JetBlue is in the area between legacy and LCC, while Spirit is all the way down in the ultra-LCC area. Even though both airlines had high overlap, the loss of Spirit would have caused the loss of an entire business model in the city route pair market. This brings us to another point in which these problems brought by the Alaska merger were able to be fixed, while the JetBlue merger wasn't a major talking point in United States District Court for the District of Massachusetts (2024). This is discussed in further detail in the next section.

The JetBlue-Spirit merger affected broader, highly trafficked domestic markets, whereas Alaska–Hawaiian primarily involved niche transpacific and Hawaii-mainland routes. The court viewed Spirit as one of the few remaining primary competitive constraints in an already consolidated oligopoly, JetBlue vs. Spirit, whereas Hawaiian did not play a comparable disciplining role in mainland domestic pricing. Finally Jetblue planned to eliminate the ultra-LCC model from the merger when Spirit was integrated into the business. On the Hawaiian side, the product would not have changed, only expanded.

9.3 Why The Result Happened

The Alaska and Hawaiian Airlines merger was approved due to the ability to mitigate the market competitiveness damage that would have been done. In Table 10, it can be seen that these two airlines hold significant market share over many city route pairs. To minimize the damage, one of the clauses laid out in the merger agreement written by the DOT was to continue these routes as currently served, meaning at no less than 90% of capacity, with the thought that they would not be able to decrease quantity and increase prices. Along with this, the firms could not restrict entry at HNL, one of the main airports in Hawaii. Finally, customers that had miles attached to the Hawaiian Airlines brand would be given a mile conversion rate of 1:1. Altogether, the merger agreement allowed the DOT to protect consumers through keeping capacity, not allowing limitations of competition, and protecting loyalty programs, all while allowing the merger to go through to help efficiency in the market. Laid out in U.S. Department of Transportation et al. (2024).

On the other end of the spectrum, the JetBlue and Spirit Airlines merger was disapproved due to the United States District Court for the District of Massachusetts (2024) finding that it would violate the Clayton Act by substantially lowering competition. Unlike the merger spoken above, this merger would have been an ultra-LCC (Spirit) merging with a higher cost carrier in JetBlue. In the court ruling, there is an emphasis on the downward pressure provided by ultra-LCC. This conclusion is backed up by the following academic literature Tan (2016). JetBlue tried to argue that the merger and increased market power would allow it to compete with the big four airlines more effectively, but the court rejected this. Additionally, the court rejected the argument of divestitures to allow other LCCs to take gate and landing slots to help make up for this problem

Overall, the reason these two mergers came to different conclusions was the following. The Alaska merger had a market concentration and route overlap problem. The DOT was able to solve this problem through an agreement to weed out these problems. While the JetBlue merger was plagued by the loss of a business model that was not replicable through the proposed plans of the merging firms.

9.4 What's happened since

Since the merger of Hawaiian and Alaska Airlines in late 2024, we have seen the following. To start, Alaska Airlines has expanded its fleet, they have added 787s previously ordered to its fleet and moved already delivered 787s from Hawaiian to its Seattle hub, as talked about in Airways Magazine (2025) and The Points Guy (2025a). However, in the past week, there has been renewed worrisomeness by consumers about the effects of the merger on the Hawaiian market, and a lawsuit has been revived in an attempt to block full integration of the two firms due to Alaska not following the rules laid out in the merger agreement.

On the other hand Jetblue has continued its efforts to get help by partnering with other firms, even if not in a merger. We see the start of the Blue Sky partnership between them and United. Spirit had to file for Chapter 11 bankruptcy twice, as seen in the article Josephs (2026). The article also goes on to talk about some of the financial hardships, such as making their aircraft fleet smaller. This shows some of the claims made by them in court filings about needing to merge were true.

10 Conclusion

The commercial aviation industry is plagued with high fixed costs, route-level competition, and significant regulatory oversight, creating a somewhat oligopolistic market. The national market seems only somewhat competitive when drilling down to individual city pairs. They do this through not only price but also network configurations, service differentiation and loyalty programs rather than traditional innovation seen in industries like tech. Analyzing both the attempted mergers of Hawaiian/Alaska Airlines and JetBlue/Spirit, we see that not only do regulators care about market share, but also a diversity of business models in the market. While regulators were able to work with Alaska to preserve market competitiveness and approve their merger, the loss of an ultra-LCC model was too much for regulators in the case of Jetblue and Spirit merger. This shows the airline industry must be analyzed on multiple geographic levels to get a full understanding of the whole

market. Overall, the findings of this paper suggest that while present-day regulators acknowledge that mergers bring increased operational efficiency to a market, they remain equally concerned with the additional market inefficiency that comes with them. Future analysis of the market can look at how continued consolidation will further reduce competition on specific routes, and how alliances and partnerships between airlines influence competitive outcomes.

11 Figures

Table 1: U.S. Airline Market Shares and HHI Calculation

Airline	Market Share (%)	Share^2
Southwest	22.40	501.76
American Airlines	19.77	390.85
Delta	19.14	366.34
United	15.15	229.52
Spirit	5.66	32.04
Alaska Airlines	4.82	23.23
Frontier	4.35	18.92
JetBlue	4.09	16.73
Allegiant	2.78	7.73
Breeze Airways	0.70	0.49
Sun Country	0.67	0.45
Avelo	0.41	0.17
Other	0.06	0.00
HHI		**1587.23**

Table 2: Market Shares at Atlanta (ATL)

Carrier	**Passengers**	**Market Share (%)**
Delta	1,965,304	56.68
Southwest	483,389	13.94
Frontier	281,528	8.12
Spirit	270,669	7.81
American Airlines	203,474	5.87
United	159,105	4.59
JetBlue	61,963	1.79
Alaska Airlines	34,393	0.99
Other Carriers	7,458	0.21
Total	**3,467,283**	**100.00**

Table 3: ATL–SEA Route Market Shares and HHI Calculation

Carrier	Market Share (%)	Share^2
Delta	56.00	3136.00
Alaska Airlines	37.57	1411.50
Frontier	1.92	3.69
Southwest	1.91	3.65
United	1.16	1.35
American Airlines	1.15	1.32
Spirit	0.22	0.05
Sun Country	0.04	0.00
JetBlue	0.03	0.00
HHI		**4557.56**

Table 4: Market Shares in New York City (NYC)

Carrier	**Passengers**	**Market Share (%)**
Delta	2,130,657	28.81
United	1,979,761	26.77
American Airlines	1,100,280	14.88
JetBlue	1,001,983	13.55
Spirit	533,568	7.21
Southwest	327,324	4.43
Alaska Airlines	192,077	2.60
Frontier	96,661	1.31
Allegiant	18,603	0.25
Sun Country	13,774	0.19
Other Carriers	1,000	0.01
Total	**7,394,688**	**100.00**

Table 5: NYC–BNA Route Market Shares and HHI Calculation

Carrier	**Market Share (%)**	**Share^2**
United	24.03	577.44
Southwest	23.28	541.96
Delta	20.84	434.31
American Airlines	14.13	199.66
Spirit	11.10	123.21
JetBlue	6.61	43.69
Sun Country	0.01	0.00
Frontier	0.00	0.00
HHI		**1920.27**

Table 6: Market Concentration Across Selected Airline Markets

Market	**HHI**	**Total Passengers**
US Domestic (overall)	1587.98	57,636,497
ATL	3593.51	3,467,380
NYC	2031.52	7,395,914
ATL–SEA	4557.30	55,259
NYC–BNA	1920.40	139,620

Table 7: Delta Air Lines Operating Expenses (2023–2025)

	2025		**2024**		**2023**	
Category	$ (M)	%	$ (M)	%	$ (M)	%
Salaries & related costs	17,520	30.4%	16,161	29.0%	14,607	27.8%
Aircraft fuel & taxes	9,819	17.1%	10,566	19.0%	11,069	21.1%
Ancillary & refinery	5,987	10.4%	5,416	9.7%	4,172	7.9%
Contracted services	4,617	8.0%	4,228	7.6%	4,041	7.7%
Landing fees & rents	3,564	6.2%	3,150	5.7%	2,563	4.9%
Regional carrier expense	2,553	4.4%	2,328	4.2%	2,200	4.2%
Passenger commissions	2,485	4.3%	2,485	4.5%	2,334	4.4%
Depreciation & amortization	2,443	4.2%	2,513	4.5%	2,341	4.5%
Maintenance materials	2,432	4.2%	2,616	4.7%	2,432	4.6%
Passenger service	1,855	3.2%	1,788	3.2%	1,750	3.3%
Profit sharing	1,337	2.3%	1,389	2.5%	1,383	2.6%
Aircraft rent	542	0.9%	548	1.0%	532	1.0%
Pilot agreement expense	—	—	—	—	864	1.6%
Other	2,388	4.1%	2,460	4.4%	2,239	4.3%
Total Operating Expense	57,542	100%	55,648	100%	52,527	100%

Table 8: Delta Air Lines Average Cost Structure (2023–2025)

Fixed Costs			**Variable Costs**		
Category	Avg $ (M)	%	Category	Avg $ (M)	%
Salaries & related costs	16,096	29.1%	Aircraft fuel & related taxes	10,485	19.0%
Ancillary businesses & refinery	5,192	9.4%	Contracted services	4,295	7.8%
Landing fees & other rents	3,092	5.6%	Passenger commissions & selling	2,435	4.4%
Depreciation & amortization	2,432	4.4%	Regional carrier expense	2,360	4.3%
Other	2,362	4.3%	Aircraft maintenance materials & repairs	2,493	4.5%
Profit sharing	1,370	2.5%	Passenger service	1,798	3.3%
Aircraft rent	541	1.0%			
Pilot agreement expense	288	0.5%			
Total Fixed	**31,373**	**56.8%**	**Total Variable**	**23,866**	**43.2%**

Table 9: Delta Air Lines Cost per Available Seat Mile (CASM)

Year	**Operating Expense ($M)**	**ASMs (M)**	**CASM (¢)**
2025	57,542	298,045	19.31
2024	55,648	288,394	19.30

Table 10: Hawaiian–Alaska Overlap Routes and Market Concentration

Route	Pre HHI	Post HHI	Δ HHI	Merged Share (%)
OGG–PDX	4997.43	9966.55	4969.12	99.83
HNL–PDX	4983.14	9943.77	4960.63	99.72
OGG–SAN	4986.82	9942.64	4955.82	99.71
OGG–SEA	4548.20	8733.10	4184.90	93.20
HNL–SEA	4126.50	7092.80	2966.30	82.38
OGG–SJC	3334.27	5504.04	2169.77	65.88
HNL–SAN	3396.72	5544.65	2147.92	66.54
HNL–SJC	3459.58	5113.17	1653.59	57.52
OGG–SFO	4065.59	4985.40	919.81	43.06
HNL–SFO	4212.80	5031.32	818.52	40.51
HNL–LAX	2343.84	2932.36	588.52	43.28
LAX–OGG	1769.48	2248.45	478.97	32.97

Table 11: Major JetBlue–Spirit Overlap Routes and Market Concentration

Route	**Pre HHI**	**Post HHI**	**Δ HHI**	**Merged Share (%)**
MCO–RIC	5026.29	9977.14	4950.85	99.89
FLL–RIC	5323.79	9977.92	4654.13	99.89
MCO–PSE	3974.90	7788.71	3813.81	87.34
CHS–FLL	4595.28	8070.45	3475.17	89.46
FLL–SJU	4003.76	7257.29	3253.53	83.60
FLL–LAS	3372.22	6304.68	2932.46	76.59
BQN–FLL	7077.53	10000.00	2922.47	100.00
BOS–SJU	4155.86	7016.44	2860.58	81.75
FLL–LGA	3374.87	5642.74	2267.87	67.97
BOS–FLL	4197.49	6381.24	2183.75	76.34
BQN–MCO	3399.00	5529.61	2130.61	66.27
BOS–MCO	3042.19	4894.29	1852.10	64.23

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